Note 14 — Income Taxes:

Our provision (benefit) for income taxes from continuing operations is comprised of the following:

	Year Ended December 31,		
	2005	2004	2003
	(In thousands)		
Current:			
Federal	$ 31,423	$ 3,198	$ (4)
State	5,182	(1,079)	1
	36,605	2,119	(3)
Deferred:			
Federal	24,274	6,001	8,391
State	8,267	2,564	(420)
	32,541	8,565	7,971
Total provision from continuing operations	$ 69,146	$ 10,684	$ 7,968

Net income taxes paid in 2005 and 2004 were $30,180,000 and $1,797,000, respectively. In 2003 the Company had a net refund of $2,960,000.

We reconcile the difference between our provision (benefit) for income taxes and income taxes calculated using the statutory U.S. federal income tax rate for continuing operations as follows:

	Year Ended December 31,		
	2005	2004	2003
	(In thousands)		
Income taxes at the statutory U.S. federal income tax rate of 35%	$ 60,577	$ 9,458	$ 7,116
Increase (decrease) in taxes resulting from:			
State taxes, net	8,742	965	(272)
Loss of nonconventional fuel credit	—	—	581
Other, net	(173)	261	543
Total provision from continuing operations	$ 69,146	$ 10,684	$ 7,968

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We record deferred income taxes to reflect temporary differences in the basis of our assets and liabilities for income tax and financial reporting purposes, as well as available tax credit carryforwards. These temporary differences result in amounts that will be taxable or deductible in future years on our tax returns. The tax effected temporary differences and credit carryforwards which comprise our deferred taxes on our balance sheet are as follows:

	December 31, 2005			December 31, 2004		
	Assets	Liabilities	Total	Assets	Liabilities	Total
	(In thousands)					
Deferred Tax Assets and Liabilities:						
Current Assets and Liabilities:						
Accounts receivable	$ 175	$ —	$ 175	$ 67	$ —	$ 67
Insurance accruals	1,534	—	1,534	801	—	801
Vacation accruals	1,635	—	1,635	1,429	—	1,429
Other reserves	456	—	456	559	—	559
Other accruals	39	(3,445)	(3,406)	—	(3,174)	(3,174)
Inventory adjustments	1,002	—	1,002	2,152	—	2,152
Total current	4,841	(3,445)	1,396	5,008	(3,174)	1,834
Noncurrent Assets and Liabilities:						
Other accruals	1,090	(135)	955	831	(192)	639
Accrued retirement	4,453	—	4,453	4,310	—	4,310
Deductible repairs	—	(1,868)	(1,868)	—	(3,150)	(3,150)
Accelerated depreciation	—	(86,549)	(86,549)	—	(64,701)	(64,701)
Net operating loss carryforward	162	—	162	5,821	—	5,821
Tax credit carryforwards	6,013	—	6,013	16,042	—	16,042
Total noncurrent	11,718	(88,552)	(76,834)	27,004	(68,043)	(41,039)
Total	$ 16,559	$ (91,997)	$ (75,438)	$ 32,012	$ (71,217)	$ (39,205)

At December 31, 2005, we had an alternative minimum tax credit carryforward of $5,960,000 and a state tax credit carryover of $53,000. General business credit carryforwards were fully utilized in 2005. Our alternative minimum tax credits can be carried forward indefinitely to offset future regular tax liabilities.

Federal net operating loss (“NOL”) carryovers were fully utilized in 2005. However, there remains $162,000 of state net operating loss carryforwards that begin to expire in the year 2022.

As a result of the Dial Oil acquisition, we recorded a net deferred tax liability offset by goodwill of approximately $3,692,000 related to purchase accounting.

In accordance with SFAS 109, deferred tax assets should be reduced by a valuation allowance if it is more likely than not that some portion or all of the deferred tax assets will not be realized. In making the determination of whether or not a valuation allowance was required, we considered all available positive and negative evidence and made certain assumptions. We considered the overall business environment, historical earnings, and the outlook for future years. We performed this analysis as of December 31, 2005 and determined that there was sufficient positive evidence to conclude that it is more likely than not that our net deferred tax assets will be realized. We will assess the need for a deferred tax asset valuation allowance on an ongoing basis.